Nutrition Capital NETWORK™

Investment Trends in the Health & Nutrition Industry

NCN Investment Trends Report – February 2025

Nutrition Capital NETWORK™

Investment Trends in the Health & Nutrition Industry

+ 2025 Outlook
+ 2024 Year-End Results

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New Administration Brings Rising Optimism Across Health & Nutrition

+ Industry sees transaction counts drop -8% in 2024 for a third straight year of declines, but it's a whole new game in 2025

NCN tracks 860 deals in 2024 compared to 933 in 2023 and 1,299 in 2022

— Reporting and analysis by Marc Brush and Mike Dovbish

After three years stuck in the mire of a protracted downturn, a silver lining has emerged amidst the uncertainties of a second Trump administration—investor optimism. Anxieties over Trump's unconventional politics remain, but the mood has shifted among financiers and, to a lesser extent, entrepreneurs. The smart money has begun to prioritize opportunity over risk, at least for now.

Despite another -8% drop in total industry transactions for 2024, Nutrition Capital Network (NCN) investors view the new administration as a boon for business with lighter regulations, lower taxes, and a desire for lower interest rates all aligned to spur growth and get capital off the sidelines.

But this optimism stands in contrast with spending plans that could balloon the debt, deportations that could spike wages, and tariffs that could retrigger inflation. "It's clear what the new administration wants, but very unclear what will actually happen," says Michael Dovbish, NCN's Executive Director. "One thing does seem certain though—it will get easier for entrepreneurs to start businesses and investors are primed to move."

At midyear, we were seeing signs of a floor and the second half of the year supports that thesis. Counts remained suppressed in the second half of the year, but they didn't fall any further. Financings dropped -7% for the full year with 667 total transactions, as expected at midyear. M&A tells a better story, down -10% on 193 transactions that outperformed our midyear estimate of 172. With investor sentiment on the rise and NCN data showing signs of stabilization, there's reason to believe in 2025 as a rebound year.

TABLE 1

Health & Nutrition Industry, Total Transactions, 2019-2024

	2019	2020	2021	2022	2023	2024
M&A	307	272	342	279	215	193
Financings	659	782	980	1,020	718	667
Total Transactions	**966**	**1,054**	**1,322**	**1,299**	**933**	**860**
M&A Growth	-11%	-11%	26%	-18%	-23%	-10%
Financings Growth	8%	19%	25%	4%	-30%	-7%
Total Growth	**1%**	**9%**	**25%**	**-2%**	**-28%**	**-8%**

Source: Nutrition Capital Network Transaction Database.

2024 Overview: Down But Not Out

An impartial look at 2024 might give investors some reason to temper their optimism going forward. It was still pretty rough out there.

> **"2024 continued to be a challenging climate for early-stage companies to raise money from private investors,"**

says Grant Ferrier, an NCN co-founder and ongoing member of the NCN Selection Committee. "Many companies have had to circle back to existing investors and use small-business debt instruments to keep plugging cash flow gaps until they're able to reach the kind of scale to appeal to that next level."

The data proves the point, as Chart 1 on the following page shows how steep the cumulative declines have become in recent years. Financings have fully retreated to pre-Covid levels, some -35% off 2022 highs. M&A activity, a more volatile metric off a smaller base, sits at a 10-year low, some -45% off its high in 2017.

Across the investor value chain, funds continued to prioritize close-in profitability over rapid growth in their portfolios, and cash remained king. For 10 transactions that successfully made it over the finish line in 2024, see the sidebar on this page. These are 10 deals that caught our eye as worthy of a second look. You'll see the advance of AI into food, the rise of regenerative agriculture, and the unexpected development of dealmaking in dietary supplements outside the US.

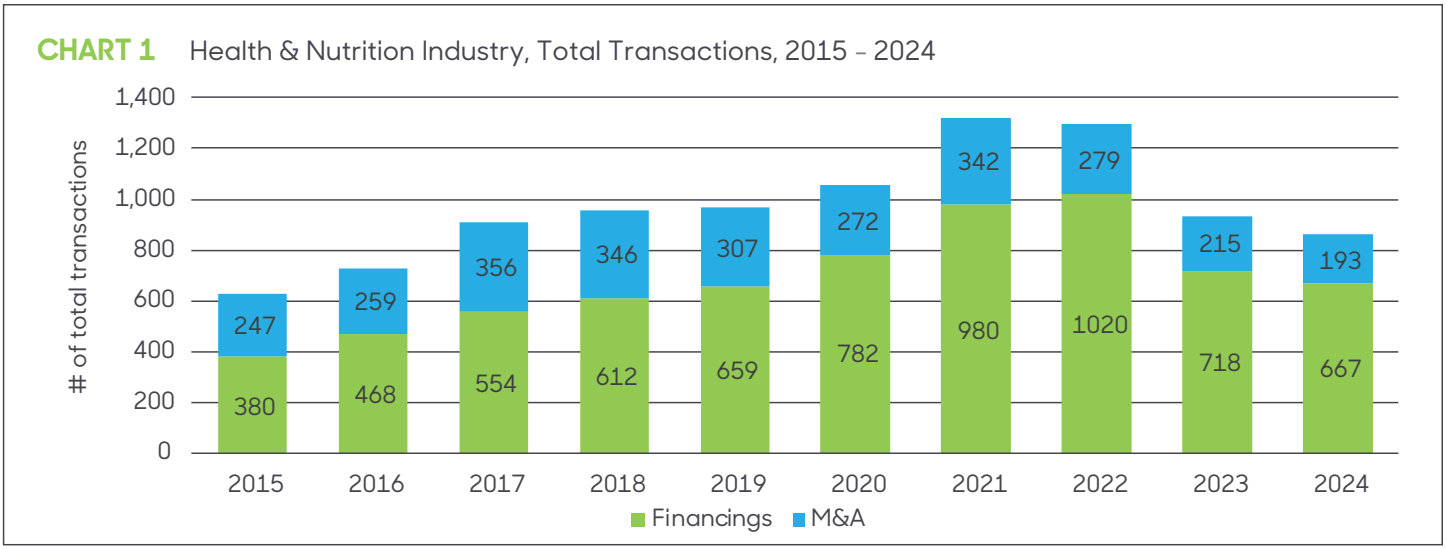
SECOND LOOK

10 transactions that caught our eye in 2024

THE DEAL	**CULINA HEALTH** raises $7.9 million in Series A
OUR TAKE	Digital platform to democratize clinical nutrition
THE DEAL	**ARTAH NUTRITION** raises £3 million for EU expansion
OUR TAKE	Supplement brand outside US raises capital
THE DEAL	**BIONIQ** raises $15 million in Series B
OUR TAKE	Personalized, AI-driven supplements out of London
THE DEAL	**SPICEWELL** attracts $1 million in pre-seed round
OUR TAKE	Nutrient-enhanced, Ayurvedic salt and pepper
THE DEAL	**MISSION MIGHTY ME** raises $2.5 million
OUR TAKE	Science-backed snacks for kids lands in Target
THE DEAL	**OATSIDE** raises $35 million in ongoing Series B
OUR TAKE	Oats still hot, this time with Asian investors
THE DEAL	**THE ROUNDS** raises $24 million in Series B
OUR TAKE	Solving for sustainability in last-mile packaging
THE DEAL	**LITTLE SESAME** lands seed round, invests in organic
OUR TAKE	Hummus with a regenerative supply chain
THE DEAL	**DAILY CRUNCH** raises $4 million in Series A
OUR TAKE	Sprouted snacks attract local VC in Tennessee
THE DEAL	**HELAINA** raises $45 million in Series B
OUR TAKE	Big round for precision fermentation and proteins

The response to interest rate cuts that finally arrived in 2024 would have to be called muted at best. It's important to remember that both **Unilever** and **Nestlé**, two of the most active acquirors this industry has ever seen, went dormant during the downturn. Big CPG names like **Bayer** and **Reckitt** also took a breather as they digested new CEOs in their leadership ranks. Large companies chose to digest and divest in 2024, rather than gird up for a new wave of acquisitions.

But maybe those rate cuts are stirring those strategics out of their stupor. In August, **Mars** announced plans to acquire **Kellanova**, the higher-growth snack portfolio that spun out of **Kellog** in 2023, for $36 billion. Then in October, PepsiCo announced its acquisition of **Siete Family Foods**, the Mexican-American heritage brand, for $1.2 billion. Big deals late in the year? That's momentum heading into 2025, and more cause for optimism. "Investors seem ready to get back to investing," says Jennifer Pfeifer, NCN's business development manager. "In my year-end calls with members, the overall temperature for 2025 seemed pretty good."



Source: Nutrition Capital Network Transaction Database.

2025 Outlook: Unpacking the Investment Opportunities in MAHA

At press time, the confirmation of Robert F. Kennedy Jr. to Trump's cabinet remained uncertain but probable. As the nation's next Health Czar, Kennedy would surely disrupt the status quo with an impact on Health & Nutrition that could prove seismic.

Experts describe the potential benefit here as "once in a generation" with clear winners and losers in the financial markets.

Parsing the tea leaves on Trump and his team's ability to effect the changes they've called for as part of the "Make America Healthy Again" movement is, at best, a fool's errands. But the intent is clear, with processed food in the crosshairs. The scope is broad, spanning every major segment of Health & Nutrition, and the language is aggressive to dismantle the regulatory agencies and incentives governing food production and consumption in the US. Large food companies with portfolios of conventional brands would suffer under this new mandate, as would the major ingredient suppliers selling into those brands. We're talking here about companies like **Coca-Cola** and **Mondelez**, **Cargill** and **Conagra**.

On the flip side, organic, regenerative, non-GMO and better-for-you food brands stand to benefit, as do the natural retailers that fuel the industry. The stock market has already rewarded major players there like **Sprouts**, **Natural Grocers**, and **UNFI**. If MAHA takes the reins of America's food culture through Kennedy, and if his team can dismantle and rapidly rebuild that culture, then the next six months could see significant shifts in the M&A markets. It's not hard to imagine beleaguered strategics racing for healthier brands to bolster their overall performance through acquisition.

The dietary supplement industry is particularly energized by MAHA, with trade associations and major brands all recognizing the unprecedented opportunities at hand.

After many decades of disfavor with regulators, supplements are poised to take center stage in a much larger way as legitimate and vital for personal health. Not only do many of Trump's key health appointees rep supplements, but RFK's clear focus on using nutrition to reduce the incidence and burden of chronic disease falls right in line with supplementation. "Now could be a great time to start a supplement company," says Dovbish.

With this kind of wind at its back, the investor class of the industry is increasingly bullish about the road ahead. Strategics are expected to come off the sidelines in 2025 and, if pressed, move quickly to adapt to a MAHA-driven food climate. There is more capital committed through private equity than ever before, and interest rates are falling. Even before the full momentum of Trump's second term takes hold, investment bankers are already talking about pipelines as full as they've since 2021. It's a healthy mix of forces for a rebound, if not a resurgence. See the sidebar below for five themes from our investor network that will shape the year ahead.

In the Room: Insights from NCN Events

The audience for Health & Wellness investments continues to grow, as evidenced by attendees at our recent events. In New York, we've seen new interest from the restaurant space, while in San Francisco, tech executives are showing up at every event. Additionally, we're noticing more newly minted angels taking seats once occupied by the venturing arms of large CPGs that disbanded during the downturn. "Our outreach to new classes of investor has really paid off," says Dovbish. "We are seeing more and more interest from individuals that come out of adjacent industries to natural products."

Dovbish's frequent conversations with these investors surfaces another key insight — firms are back out raising funds. These are typically new funds sized in the $30-$100 million range that are secondary or tertiary efforts from seasoned investors. "It's taking longer than usual to raise," says Dovbish, "but I can confirm that, for many of these firms, their current portfolio companies are strong enough to give the fund managers confidence in the market. I can think of five from the past month." The new money is landing in funds focused on agtech and supply chain, but consumer remains strong as well. In fact, it's the CPG brands that have often outperformed in the current portfolios.

LOOKING AHEAD

5 top themes from our investor network for 2025

THE IDEA	**MAHA MADNESS**
OUR TAKE	For all of the controversy surrounding Trump and RFK Jr., the Make America Healthy Again movement stands to amplify the natural products industry in dramatic fashion.
THE IDEA	**MURKY MACRO**
OUR TAKE	The new administration is pro-business, but it's also erratic. Deregulation and lower rates should open up the markets, but tariffs and deportations complicate the outlook.
THE IDEA	**PLATFORM PLAYS**
OUR TAKE	Investors like technology-driven solutions that create efficient marketplaces, even in food. These "platform plays" often land in the supply chain, and bypass the competition among brands.
THE IDEA	**SUPPLEMENTS IN THE SPOTLIGHT**
OUR TAKE	The twin forces of MAHA and food-as-medicine add serious momentum to dietary supplements. The segment continues to rise in the ranks of top-tier consumer products for strategics.
THE IDEA	**UNSTOPPABLE GLP-1**
OUR TAKE	The market opportunity surrounding GLP-1 is massive, with product developers parsing that opportunity to address consumer needs before, during, and after taking the drugs.

TABLE 2

Health & Nutrition Industry, Financings by Key Segments, 2018-2024

	2018	2019	2020	2021	2022	2023	2024
Agtech, Biotech & Foodtech	142	125	182	264	366	262	280
Natural & Organic Food & Beverage	135	152	176	210	210	186	192
Technology (All Subsegments)	208	179	219	297	222	120	77
OTC & Personal Care	38	48	45	40	49	44	56
Supplements & Ingredients	13	29	30	34	26	34	28
Retail & Distribution	28	20	15	19	23	16	8
Other	47	106	115	116	124	56	26
Total Financings	**611**	**659**	**782**	**980**	**1,020**	**718**	**667**

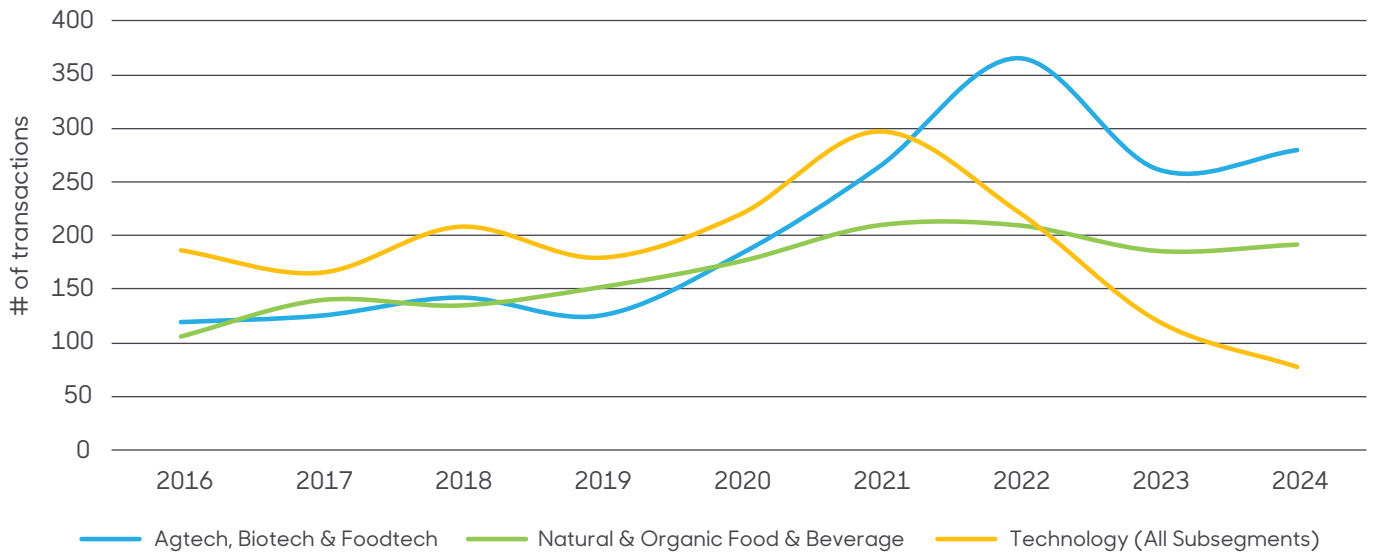
Source: Nutrition Capital Network Transaction Database.

2024 results support that focus. As Table 2 on the previous page shows, the Technology segment continued its freefall (-36%), but Natural & Organic Food & Beverage found its footing (+3%) and Agtech, Biotech & Foodtech saw the beginnings of a rebound (+7%).

The Agtech, Biotech & Foodtech space still attracts big bets, in part, because it offers platform solutions to large, technical problems. Recent presenters that fuel this trend would include companies focused on everything from indoor farming to e-commerce drop shipment to digital twinning for clinical research and scientific discovery.

We're hearing more interest at our events in "platform plays" that deliver technology to create more efficient marketplaces and solve for climate and sustainability challenges.

CHART 2 Health & Nutrition Industry, Financings by Key Segments, 2016 – 2024



Source: Nutrition Capital Network Transaction Database.

Research from **Forerunner Ventures** shows that platforms and marketplaces command $190 billion in revenue and $570 billion in market valuation, with a range of small- and large-cap liquidity events in recent years that rival software. See Chart 2 above for evidence of this trend's impact on food. "We're talking more and more about the tech than the brands," says Dovbish. "This is becoming a bigger part of the NCN world. The days of us seeing too many brands in the application pool might be over for a while."

TABLE 3

Health & Nutrition Industry, M&A by Key Segments, 2018-2024

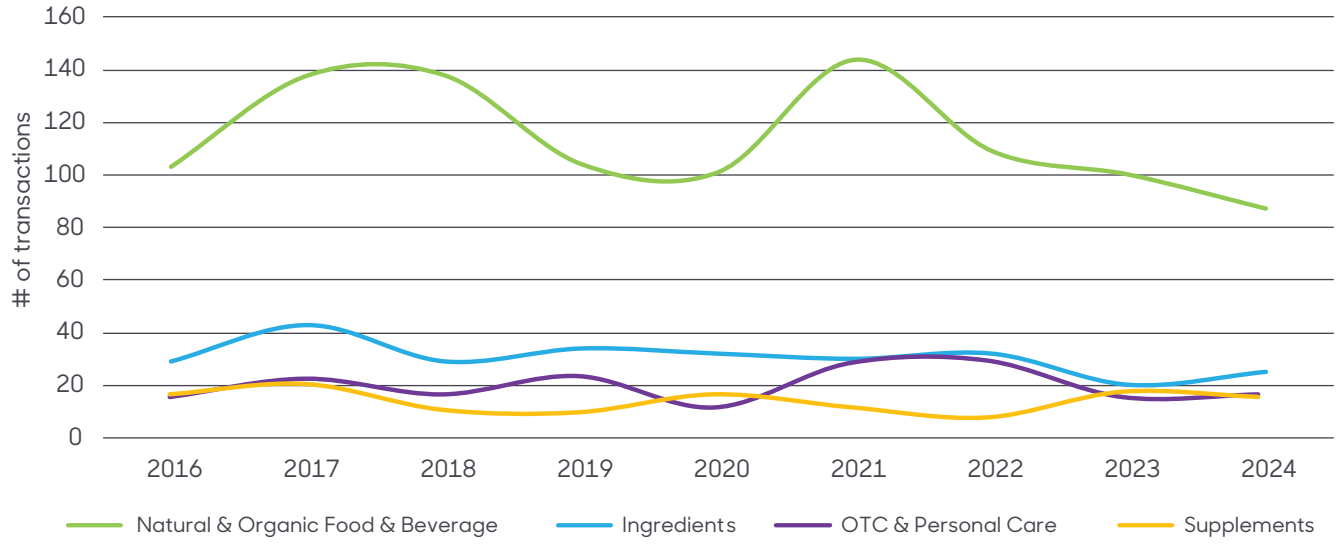
	2018	2019	2020	2021	2022	2023	2024
Natural & Organic Food & Beverage	138	104	101	144	109	100	87
Ingredients	29	34	32	30	32	20	25
OTC & Personal Care	17	24	12	29	30	16	17
Supplements	11	10	17	12	8	18	16
Retail & Distribution	22	29	23	10	21	9	8
Contract Manufacturing	12	13	8	13	8	4	10
Fitness, Pet & Other	117	93	79	104	71	48	30
Total M&A	**346**	**307**	**272**	**342**	**279**	**215**	**193**

Source: Nutrition Capital Network Transaction Database.

On the M&A front, this shift to tech from brand played a part in 2024 results. Segments like Ingredients (+25%) and Contract Manufacturing (+150%) outperformed Natural & Organic Food & Beverage (-13%), a category where strategics have often seen too many similar propositions to what's already on offer. See Table 3 on the previous page for a fuller segment analysis.

Chart 3 below shows how dominant the brands remain for overall industry performance, however. While the growth might be shifting, this industry was built on the advance of consumer brands that drive the Natural & Organic Food & Beverage segment. That segment contributed the lion's share of industry results, and will for many years to come, with 87 M&A transactions that account for 45% of the total.

CHART 3 Health & Nutrition Industry, M&A by Key Segments, 2016 - 2024



Source: Nutrition Capital Network Transaction Database.

While counts were down, Health & Wellness regained some swagger in 2024 with an average size of financing that grew to $29 million from $19 million a year ago.

This number is a shadow of the $53 million average from 2021, but it's good news in a bad year. Table 4 below breaks out average financings by major industry segments. Some segments improved a bit, some slipped a bit, but Supplements stole the show with a +222% increase from $8 million to just under $26 million per transaction. Investment in brands like **Momentous** and **Timeline** fueled this result, with more good news on the horizon in a MAHA-favorable world. It's interesting to see supplements also connect with the platform trend. Take **Persona**, once the darling of the personalized medicine platform, now repositioning as a nextgen telehealth platform for GLP-1 support. More on that GLP-1 intersection to come in the next section of this report.

TABLE 4

Health & Nutrition Industry, Average Size of Financing by Key Segments, 2020-2024

	2020	2021	2022	2023	2024
Agtech, Biotech & Foodtech	$26.73	$29.09	$27.03	$21.32	$17.84
Natural & Organic Food & Beverage	$22.59	$28.68	$19.17	$13.16	$14.20
OTC & Personal Care	$17.85	$30.92	$9.23	$8.39	$8.88
Supplements	$7.46	$6.78	$17.57	$7.99	$25.78
Total Industry	**$34.73**	**$53.00**	**$32.69**	**$19.25**	**$28.73**

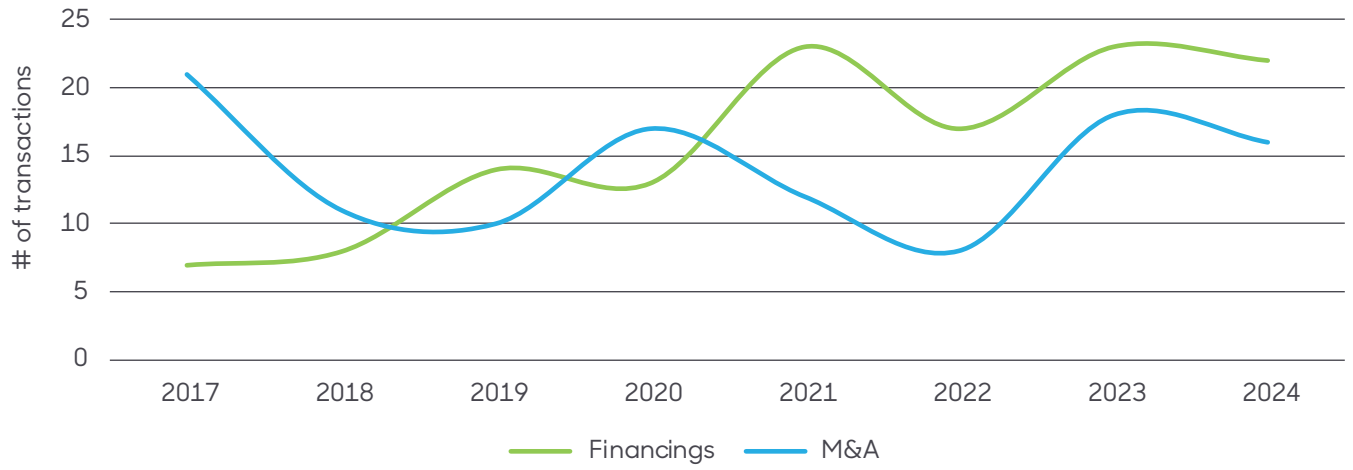
Source: Nutrition Capital Network Transaction Database. Proceed totals in $mil.

Trendspotting: GLP-1, Regenerative Agriculture, Peptides, Hormones, Mushrooms

Research from **Nutrition Business Journal** (NBJ) dives into the biggest trend driving innovation and investment in today's market—GLP-1. According to NBJ's survey data,
For example, **Nestlé** and **Abbott** have already launched suites of meal replacement products specifically designed and branded to serve GLP-1 users. "I will tell you that we're hearing investors ask for opportunities here across the board, from natural alternatives to products that serve GLP-1 users before and after they take the drugs," says Dovbish. "As we come out of the muck, these are the types of investments that will command higher valuations."

the supplement industry has its sights set squarely on the nutrient deficiencies created by GLP-1 drugs, but the impact is much broader than that single segment.

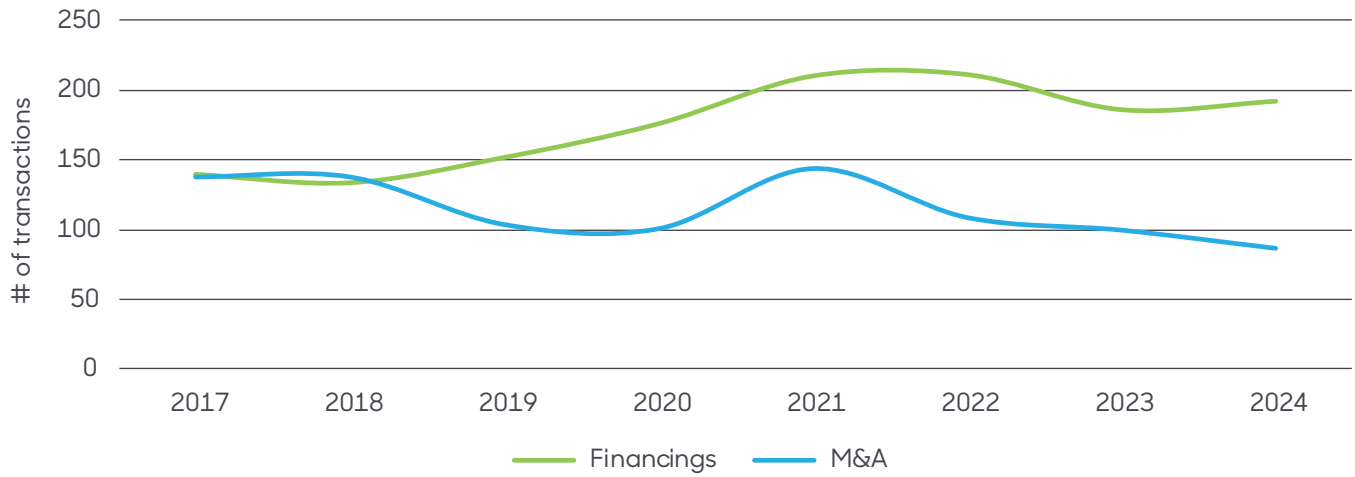
CHART 4 Supplements, Total Transactions, 2017 – 2024



Source: Nutrition Capital Network Transaction Database.

NBJ parses the market opportunity along similar lines: Before consumers opt for GLP-1 drugs, foods and supplements that influence GLP-1 levels in the body could provide alternative solutions, stimulating the growth of weight management as a category. While taking the drugs, nutritional deficiencies are a real concern, as is muscle loss, making micronutrients, omega-3s, protein, and fiber clear winners. After weaning off the drug, consumers will be looking to maintain weight loss and healthy blood sugar levels, so the meal replacement options hit a sweet spot. For NBJ's full report on *Supplements in the Ozempic Age*, including discussion of NCN presenter **Calocurb**, click here.

CHART 5 Natural & Organic Food & Beverage, Total Transactions, 2017 – 2024



Source: Nutrition Capital Network Transaction Database.

Trend analysis from the editorial team at **New Hope Network**—the parent company of NCN—highlights a second wave of industry momentum around regenerative agriculture and its intersection with climate and sustainability. In an article titled "25 top predictions for conscious CPG and retail in 2025," the editors declare that sustainability is now standard: "For Gen Z and millennials, sustainability is now a baseline expectation rather than a premium feature. An NBJ survey reveals that 17% of Gen Z and 18% of millennials purchase products based on sustainability messaging. Brands are responding with eco-friendly packaging, sustainable agriculture and transparent supply chains, while investors drive change through regenerative agriculture, enhancing soil health, biodiversity and carbon sequestration." Noted manifestations of the trend in market include **Patagonia Provisions**, **True Grace**, **Builders Vision Investment Fund**, and **ReGen Brands Capital**. Click here for all 25 trends.

With GLP-1 and sustainability as mega trends, a host of more targeted trends continue to drive interest in the investment community. NCN has seen recent presenters with a focus on brain health—from sleep to stress, from mood to focus and energy—attract outsized interest, as have peptides. Hormone health is an up-and-comer as the broader women's health market, a big winner during the downturn, continues to evolve and innovate.

These are all key areas of focus for NBJ and New Hope going into 2025. Market data from NBJ shows a combined women's health supplement category—including pre- and post-natal, menopause, sexual health, and general health subcategories—expected to reach $4.62 billion in 2025 sales off a +5.5% annual growth rate. Women's sexual health and menopause are standout subcategories with strong growth rates predicted out to 2027. In 2024, NBJ tracked menopause supplements at +7.8% annual sales growth, and women's sexual health supplements grew +7.7%.

NCN also sees sustained interest in the mushroom category. "In protein and food markets, I see the evolution from fauna to flora to fungi as a major trend for the rest of the 2020s," says Ferrier, "especially as we consider the relative lack of carbon footprint from that third kingdom of mushroom fruiting bodies and mycelium." ▷

2024 TOP TRANSACTION LISTS

+ The data and commentary that follows digs deeper into the NCN Transaction Database for a more detailed look at the top transactions across key segments in 2024.

LIST 1

Top Financings by Size, Natural & Organic Food & Beverage, 2024 vs. 2023

Company Name	2024	Company Name	2023
Meati	$100.00	Guayakí	$75.00
ByHeart	$95.00	Bobbie	$70.00
Aloha	$70.00	Ripple Foods	$49.00
Athletic Brewing Company	$68.00	Lemon Perfect	$37.00
Liquid Death	$67.30	Jimmyash	$36.30
Voyage Foods	$55.00	The Rainforest Company	$36.00
Serenity Kids	$52.00	ZenWTR	$35.90
Athletic Brewing Company	$50.00	Third Wave Coffee	$35.00
Squared Circles	$40.00	Recover 180	$35.00
KoRo	$40.00	Momentous	$32.10
Total of Top 10	**$637.00**	**Total of Top 10**	**$441.30**

Source: Nutrition Capital Network Transaction Database. Proceed totals in $mil.

NCN Insights:

- A welcome rebound for the segment, as both deal size and total proceeds increased. As the bellwether category for the overall industry, this improved performance provides further evidence of better days ahead.
- Kids nutrition had a banner year, with big deals for ByHeart and Serenity Kids, two upstarts in infant formula. Beverages remain a draw, with top deals going to Liquid Death and Athletic Brewing, twice.
- Plant-based and sustainability showed some staying power with transactions for Aloha, Voyage Foods, and Meati, the biggest deal of the year at $100 million, on par with the segment below.

LIST 2

Top Financings by Size, Agtech, Biotech & Foodtech, 2024 vs. 2023

Company Name	2024	Company Name	2023
Inari	$103.00	Plenty	$400.00
Agrovision	$100.00	eFishery	$200.00
LactaLogics	$92.00	Ynsect	$175.00
Perfect Day	$90.00	Colosal Bioscience	$150.00
Cradle	$73.00	eFishery	$108.00
Carbon Robotics	$70.00	Loam	$105.00
Spiber	$65.00	Viome	$86.50
Formo	$61.00	Aphea.Bio	$75.00
Infinite Roots	$58.00	Aphea.Bio	$70.00
Entosystem	$58.00	Lemnature AquaFarms	$58.50
Total of Top 10	**$770.00**	**Total of Top 10**	**$1,428.00**

Source: Nutrition Capital Network Transaction Database. Proceed totals in $mil.

NCN Insights:

- Weakness across the board as total proceeds plummeted (-46%), and top deal sizes fell to earth. Inari's $103 million wouldn't have even made the Top 10 as recently as 2021.
- Maturation of the segment contributed to the declines here, as new companies raising large seed rounds to launch a technology have fallen out of favor. Companies like Inari and Perfect Day are raising follow-on rounds at smaller scale.
- Money clustered in two areas here—farm-level technologies in Agtech (Inari, Agrovision, Carbon Robotics), and alternatives to dairy and proteins (LactaLogics, Perfect Day, Spiber, Formo, Entosystem). ▷

2024 DEALFLOW ANALYSIS

+ The data and commentary that follows digs deeper into the NCN Dealflow Database for a more detailed look at the application pipeline in 2024.

Since NCN's inception in 2007, more than 1,200 companies have presented with approximately 44% receiving capital as a direct or indirect result of their participation at our events.

In a challenging year, 12 NCN alumni completed transactions, as shown in Table 5 below.

TABLE 5

NCN Presenters with Completed Transactions in 2024

Company	Year of Presentation
Arzeda	2020
California Cultured	2023
Cure Hydration	2023
Infusd Nutrition	2023
The Jackfruit Company	2023
Lotus Foods	2007
Naak	2021
Nuritas	2013
Rarebird	2023
Sempera Organics	2022
Serenity Kids	2020
Terviva	2020

Source: Nutrition Capital Network Presenter Tracking Database. Data subject to change. List may be incomplete. ▷

2024 NEWSMAKERS

+ The following represents a selection of transaction highlights from the NCN universe. These are news items from NCN's industry tracking in the calendar year, and often reflect successes of past presenters at NCN events.

Alternative chocolate startup California Cultured closes significant investment

California Cultured, a foodtech startup specializing in producing cocoa and botanicals through plant-cell cultures, has secured a significant investment from Sparkalis, the venture arm of Puratos, a global leader in bakery and chocolate ingredients. This partnership will help the company scale its technology and address the growing demand for sustainable cocoa alternatives.

Timeline Nutrition closes successful Series D

Swiss longevity supplement brand Timeline Nutrition has secured $66 million in Series D funding, led by Nestlé Health Science and L'Oréal's VC arm BOLD, to expand its science-backed anti-aging technology, Mitopure, across new products and sectors, including food and beauty.

Infant nutrition firm ByHeart raises $95 million as it preps for US launch

With a recent raise of $95 million and the announcement of new manufacturing facilities in Oregon and Iowa, infant nutrition brand ByHeart is poised to enter the US market and quickly expand. ByHeart leans into innovation surrounding breast milk science to create products designed for easier absorption, enhanced digestion and more efficient weight gain.

High-protein startup David raises $10 million in seed round

In its drive to develop a line of high-protein foods, the company David raised $10 million in a seed investment round. The company's chief executive officer and co-founder, Peter Rahal, led the round, with participation from the company's chief science officer Peter Attia, neuroscientist Andrew Huberman, and Valor Siren Ventures.

Serenity Kids secures $52 million

Serenity Kids, a leading shelf-stable baby and toddler food brand, has secured a $52 million Series B investment round led by Stride Consumer Partners to boost its growth, retail distribution, and innovation efforts.

Compass Diversified partners with Honey Pot

Compass Diversified has partnered with The Honey Pot Company in a $380 million deal to expand the reach of its feminine care products. Honey Pot seeks to destigmatize feminine care through accessible products that promote holistic wellness.

Big Idea Ventures invests in sustainability and nutrition

To help drive the next generation of sustainable food solutions, Big Idea Ventures has announced six investments in a cohort that includes Meatosys (farm-based, cultivated meat), Nalca Biotech (modular fermentation systems), and Future Biome (prebiotics).

PepsiCo picks up Siete Foods for $1.2 billion

PepsiCo has entered into a definitive agreement to acquire Siete Foods, a Mexican-American heritage brand, for $1.2 billion. The acquisition expands PepsiCo's multicultural and better-for-you portfolio by incorporating Siete's range of salsas, seasonings, and snacks.
Buzzy functional mushroom company nets investment from L Catterton, celebrities
Alice Mushrooms, a manufacturer of chocolates spiked with mushrooms to achieve wellness goals like improved sleep and boosted energy, has received an undisclosed amount from L Catterton as well as Zac Efron, Pedro Pascal, and comedian Kevin Hart.

With $15 million raise, UK microbiome company Zoe plans US expansion

Zoe, a London-based company that recommends foods based on blood and stool tests, has raised $15 million from Coefficient Capital in a Series B that brings total funding to $118 million. Proceeds will go toward an expanded footprint in the US. ▷

COMMENTARY & INSIGHTS FROM NCN MEMBERSHIP

+ NCN asked select members of our community to assess the challenges of 2024 and the opportunities to come in 2025. We thank everyone who contributed with their insights and direct experience of the current investment climate.

How are you feeling about the investment climate in 2025?

Jacqueline Jacques, ND, MVP Nutra
"Right now, I would call myself cautiously optimistic. The last Trump administration generally promoted a pro-business regulatory approach. While this could be seen as favorable for innovation and business growth, investors still have to write checks. I think we are going to have to wait for the hype around RFK/Make America Healthy Again to settle a little before we really understand what sectors are going to attract investment dollars. If we have changes that impact the regulatory, trade, and economic landscape in ways that directly affect companies in the nutrition and food sectors, this could dictate where the dollars flow. For example, under the last Trump administration, we saw a lot of dollars flow into GMO technologies—but that might look very different this time around."

Nicholas Krivokucho, NCN Selection Committee Member
"Overall, I'm cautiously optimistic. Trump has signaled that he supports the business community through lower taxes and some broad (potentially disruptive) changes in the health and wellness industry, and more broadly the food space. This could be helpful to those of us who focus on food innovation, food tech, and the concept of 'food as medicine'. Let's see how things play out once the Trump administration is in office."

Pete Picceti, Heffernan Insurance Brokers
"Good to very good. My two concerns are inflation and tariffs. Capital is coming back into the insurance market, which is a good sign."

Pat Schneider, Healthy Bizz
"Donald Trump and his incoming administration strongly advocate for prioritizing business over government intervention. It's likely that the Trump administration will work to eliminate or reduce regulatory barriers introduced during the Biden administration, aiming to remove obstacles to growth. Such actions could stimulate revenue, enhance profitability, and encourage a greater number of financial activities like mergers, acquisitions, and IPO transactions."

Ian Newton, Ceres Consulting
"My assumptions are that the economy grows at 2-3%, unemployment stays low, and the US remains a good place to invest. So I see further consolidation in health and wellness stimulating M&A activity. I expect good retail growth, with no huge changes. The main driver is an aging population wanting to take healthcare into their own hands. Science will be a key driver for any new products to make them sustainable."

Jim Tonkin, Healthy Brand Builders
"I think the new administration is going to be a very refreshing change from the same-old same-old we've experienced over the last four years. The debt is still going to be a major concern, which is going to keep the market depressed, even with the lowering of interest rates a little bit. I think stubborn inflation will continue to plague most Americans and keep the pocketbook tighter than usual. As it relates to the business climate, I think small- to medium-sized businesses will continue to flourish as there are lots of new opportunities emerging. However, the same principles will apply relating to growth on the revenue side and the control and positive output of EBIT."

Grant Ferrier, NCN Co-founder, Selection Committee Member
"2024 continued to be a challenging year for early-stage companies to raise money from private investors. Many companies have had to continue to circle back to existing investors and use small business debt instruments to keep plugging cash flow gaps until they're able to reach the kind of scale to appeal to the next level and bridge to the professional investor. Others have sought out former company owners still somewhat active in the industry, but it's not always easy to find them. The bar continues to be raised on the milestones for Series A, but generally lands at $5-10 million in sales, scalability, and improvements in gross margin, whether production is internal or through co-manufacturers."

How do you balance the opportunities and risks of the incoming administration?

Jacqueline Jacques, ND, MVP Nutra
"I would call my current status 'on alert'. If Trump's return to office is likely to favor deregulation, pro-business policies, and trade protectionism, that could benefit certain sectors of the industry while creating serious challenges for others. Certainly, the question of what is going to happen with tariffs is looming large and could really create pain in parts of the industry that depend heavily on foreign raw materials, packaging, manufacturing, and more. If RFK will be pushing an agenda of fewer food additives and toxins, is that going to be a huge win for organic and natural, or will it upend the whole GRAS system that we have come to depend on for bringing new ingredients to market, or both? I love that we might finally see things like insurance and SNAP coverage for supplements, but worry that deregulation might have a real negative impact on quality and create a more favorable environment for adulteration. Honestly, I am equal parts excited and anxious. But it's coming, and we are all going to get to see how this plays out live."

Nicholas Krivokucho, NCN Selection Committee Member
"Uncertain and unclear. Disruption is needed in our food supply chain and the types of foods we consume and subsidize, but what we don't know is what changes will happen once Trump takes office and people like RFK Jr. assume the role of Health Secretary. I see opportunity in some of these changes, however what changes and what happens is uncertain. I'm taking a wait and see approach."

Pete Picceti, Heffernan Insurance Brokers
"With RFK Jr. at the helm of HHS, Generations XYZ should see a continued push for health and wellness. For now, if big changes are made, we won't feel them for a decade or two."

Pat Schneider, Healthy Bizz
"Trump's 'Make America Healthy Again' initiative presents a promising outlook for the dietary supplement and natural foods industry. His proposed appointment of RFK Jr. to lead the Department of Health & Human Services signals a positive shift, likely accompanied by reduced government intervention compared to the Biden administration. Trump has consistently emphasized his opposition to mandates, advocating for consumer choice in decisions about their bodies, health and diet, including the consumption of nutritious foods. His proposed administrative appointments further reinforce his pro-business and limited government stance."

Jim Tonkin, Healthy Brand Builders
"If RFK becomes the health czar for the US, I think lots of changes will be made. The outcome of those changes could be a beneficial windfall to the dietary supplement space, as pharma companies are in the crosshairs given the massive amount of money that they and their middlemen have made over the years. No one really knows the outcome of the new MAHA process, but I think some of the people in addition to Kennedy, like Marty Makary at the head of FDA, will be very positive for the business community." ▷

ABOUT NCN

+ The mission of **Nutrition Capital Network** is to facilitate financing, partnering, and asset sales for growing companies, and to introduce investors to the next generation of successful brands and technology in the Health & Nutrition Industry.

Led by industry veterans and experienced investment professionals, NCN serves as a gateway to connections, insights, and resources that support the continued growth of the nutrition, natural products, and health & wellness industries.

NCN produces annual lists of top transactions in the Health & Nutrition Industry, in addition to a summary of investment and M&A activity by segment, derived from the NCN Transaction Database. NCN has maintained a database on transactions since 2004, and has been compiling nutrition industry market data and top company lists since 1996, when NCN founders also founded Nutrition Business Journal.

The **NCN Transaction Database** follows transactions in two categories: 1) mergers & acquisitions (M&A) or changes in ownership or control, and 2) investment or equity financing (excluding debt or non-cash strategic partnerships) from around the world in what NCN defines as the Health & Nutrition Industry. Both types of transactions are tracked in seven major segments and 25 industry or product subsegments.

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2025 MEETING SCHEDULE

NCN hosts four Investor Meetings each year featuring qualified deals screened by the NCN Selection Committee, in addition to unique industry content: an East Coast Spring meeting (New York) and a West Coast Fall meeting (San Francisco), both presenting branded products primarily; an annual European meeting at Vitafoods (Barcelona, Spain); and a Fall meeting at SupplySide West (Las Vegas) dedicated to ingredients, science, and technology. NCN also presents candidates for investment at Expo West in a joint event with New Hope Network called the PitchSlam.

Some events will have hybrid elements, giving our community the option to experience the event via our virtual platform. Event formats may change given local health and safety guidelines.

Date	Location	Event
February 14, 2025	Singapore	Asia Investor Meeting in partnership with Nurasa
March 6, 2025	Anaheim, CA	Funding & Innovation Forum at Expo West
April 30, 2025	New York, NY	Spring Investor Meeting
May 20, 2025	Barcelona, Spain	Europe Investor Meeting at Vitafoods
October 28, 2025	Las Vegas, NV	Ingredient Technology Meeting at SupplySide West
November 12, 2025	San Francisco, CA	Fall Investor Meeting

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